

26VECV01297 26VECV01297

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Tentative Ruling

Farzan & Farzan v. KV

Construction 1, Case no. 26VECV01297

Hearing date August 5, 2026

Cross-Defendant

Farzan's Demurrer to the Cross-Complaint

Plaintiff

Farzan & Farzan, an accountancy corporation, sues defendants KV

Construction 1, Inc. and Vaknin for breach of contract. KV1 cross-complains against plaintiff for professional negligence and breach of contract. Plaintiff demurs to the cross-complaint; KV1 opposes.

"The

function of a demurrer is to test the sufficiency of the complaint as a matter of law." Holiday Matinee, Inc. v. Rambus, Inc. (2004) 118 Cal.App.4th 1413, 1420. A complaint "is sufficient if it alleges ultimate rather than evidentiary facts," Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550, but plaintiff must allege essential facts "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. Doheny Park Terrace Homeowners Ass'n., Inc. v. Truck Ins. Exchange (2005) 132 Cal.App.4th 1076, 1099.

Plaintiff

demurs to the first cause of action for professional negligence. "The elements

of a cause of action in tort for professional negligence are (1) the duty of the professional to use such skill, prudence, and diligence as other members of his profession commonly possess and exercise; (2) a breach of that duty; (3) a proximate causal connection between the negligent conduct and the resulting injury; and (4) actual loss or damage resulting from the professional's negligence." *Budd v. Nixen* (1971) 6 Cal.3d 195, 200. Plaintiff argues the allegations lack sufficient details to support the claim.

The

cross-complaint alleges plaintiff, as a certified public accountancy firm, owed KV1 a duty of care. See, e.g., Cross-Compl., paras. 13-14. The cross-complaint alleges Farzan breached that duty, by "(a) structuring and pursuing unlawful contingency fees tied to tax outcomes[;] (b) negligently preparing ERTC calculations, filings, and/or amended filings; (c) providing advi[c]e that was inconsistent with applicable tax laws and accounting principles; and (d) failing to advise KV in accordance with Farzan's professional responsibilities." *Id.* at para. 15. The cross-complaint alleges KV1 suffered resulting damages. *Id.* at para. 16. The cross-complaint alleges sufficiently detailed facts to acquaint plaintiff with the nature of the claims against it. The first cause of action is sufficiently pled. **OVERRULED.**

Plaintiff

demurs to the second cause of action for breach of contract. Plaintiff argues the cross-complaint fails to specifically allege the provisions breached. A party must state the specific provisions of the contract allegedly breached and describe how those provisions were breached. *Levy v. State Farm Mutual Automobiles Ins. Co.* (2007) 150 Cal.App.4th 1, 55.

KV1

argues it sufficiently alleged breach and subsequent damages. The cross-complaint alleges "Farzan breached the Engagement Agreement by failing to perform the agreed services in accordance with the requirements of the Engagement Agreement and/or performing said services in a deficient manner." Cross-Compl., para. 22. No other allegations detailing the nature of the breach nor terms that were allegedly breached are pled. Bare allegations are insufficient. **SUSTAINED** with 15 days leave to amend.

Plaintiff

demurs to the third cause of action for promissory fraud. Promissory fraud, a subspecies of fraud, requires a promise made without any intention of performing it at the

time the promise was made, intent to induce reliance, justifiable reliance and resulting damages. *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638. Fraud must be pleaded specifically; plaintiff must allege "how, when, where, to whom, and by what means the representations were tendered." *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73, disapproved on other grounds in *Lazar*, supra, at 645. Plaintiff argues the cross-complaint fails to specify the nature of the alleged fraud and fails to plead intentionality or justifiable reliance.

The

intentionality element "is sufficiently pled with a general allegation the promise was made without an intention of performance." *Beckwith v. Dahl* (2012) 205 Cal.App.4th 1039, 1060, citing *Tyco Industries, Inc. v. Superior Court* (1985) 164 Cal.App.3d 148, 156. The cross-complaint alleges plaintiff made the underlying promises without the intention of performing. Cross-Compl., paras. 27-30. The cross-complaint alleges KV1 justifiably relied on the allegedly false promises and had no ability to discover the alleged fraud. *Id.* at para. 31. The cross-complaint alleges plaintiff made the false promises through nonparty Karl Farzan, at the time the parties negotiated the underlying engagement agreement for the purposes of inducing KV1's agreement to the terms. *Id.* at para. 27. KV1 alleges damages arising from "defense and compliance costs, exposure to tax penalties and interest, and other consequential damages including attorneys' fees, costs, expenses, and fees." *Id.* at para. 33. This is sufficient. OVERRULED.

Plaintiff's

demurrer to the cross-complaint is SUSTAINED with 15 days leave to amend as to the second cause of action in the cross-complaint only. OVERRULED as to the first and third causes of action.